

China: CPI inflation softened from May to June, and PPI inflation likely peaked

Bottom line:

China's headline CPI inflation edged down to +1.0% yoy in June from +1.2% yoy in May, mainly on lower energy and gold prices. Headline PPI inflation edged up to +4.1% yoy in June from +3.9% yoy in May, mainly due to higher downstream sector prices. The contribution of upstream sectors to headline PPI inflation was roughly unchanged from May to June, with lower oil & gas and chemicals prices offset by higher ferrous metal and coal prices. Stronger-than-expected Q2 PPI prints suggest a more front-loaded oil-driven reflation shock than we previously anticipated. On the back of our commodity team's [lower oil price forecasts](#), we revise down our H2 sequential PPI inflation, and we expect year-over-year PPI inflation to moderate in the coming months. This implies unchanged 2026 full-year PPI inflation forecast (2.0%) and lower 2027 full-year forecast (0% vs. 0.6% previously).

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Key numbers:

CPI: +1.0% yoy (-0.4% mom annualized*) in June vs. GS: +1.1% yoy, Bloomberg consensus: +1.1% yoy; May: +1.2% yoy (+0.8% mom annualized*).

- Food: -1.6% yoy in June (+1.7% mom annualized*) vs. -1.7% yoy in May.
- Non-food: +1.5% yoy in June (-3.0% mom annualized*) vs. +1.9% yoy in May.
- Core: +1.0% yoy in June (+0.2% mom annualized*) vs. +1.1% yoy in May.

PPI: +4.1% yoy in June (+1.2% mom annualized*) vs. GS: +4.2% yoy, Bloomberg consensus: +4.1% yoy; May: +3.9% yoy (+8.8% mom annualized*).

(*seasonally adjusted by GS)

Main points:

1. China's headline CPI inflation edged down to +1.0% yoy in June from +1.2% yoy in May, mainly on lower energy and gold prices ([Exhibit 1](#)). In month-on-month terms, headline CPI inflation declined to -0.4% (annualized, seasonally adjusted) in June (vs. +0.8% mom s.a. ann in May).
2. In year-over-year terms, food inflation edged up to -1.6% yoy in June from -1.7% yoy in May ([Exhibit 2](#)). Among major food items, pork prices fell by 15.9% yoy in June (vs. -16.1% yoy in May). Fresh vegetable prices decreased by 0.3% yoy in June (vs. +1.6% yoy in May), and fresh fruit prices declined by 0.7% yoy in June (vs. -2.2% yoy in May).
3. Non-food CPI inflation fell to +1.5% yoy in June from +1.9% yoy in May, mainly on

lower energy and gold prices ([Exhibit 3](#)). Fuel costs rose by +15.3% yoy in June (vs. +21.1% yoy in May), and transportation services price inflation increased by 3.8% yoy in June (vs. 4.7% yoy in May). After excluding food and energy prices, core CPI inflation edged down to +1.0% yoy in June (vs. +1.1% yoy in May), mainly reflecting softer gold prices, with prices of “other goods/services” increased by 6.6% yoy in June (vs. 9.9% yoy in May). The NBS [commented](#) that lower fuel costs and gold prices together explained a 0.23pp decline in year-over-year headline CPI inflation from May to June.

4. Year-over-year PPI inflation edged up to +4.1% yoy in June from +3.9% yoy in May ([Exhibit 4](#)). The contribution of upstream sectors to headline PPI inflation was roughly unchanged from May to June, with lower oil & gas and chemicals prices offset by higher ferrous metal and coal prices. The 0.2pp increase in the headline PPI inflation over the same period came entirely from downstream sectors, with about half coming from electronic equipment making, such as computers and communication equipment. In month-over-month terms, PPI inflation fell to 1.2% (annualized, seasonally adjusted) in June (vs. 8.8% in May). PPI inflation in producer goods rose to +5.5% yoy in June (vs. +5.2% yoy in May), and PPI inflation in consumer goods edged down to -0.9% yoy in June (vs. -0.8% yoy in May).

5. The Q2 headline PPI prints came in above our forecast, suggesting a more front-loaded energy-driven PPI reflation. However, our commodity research team [has lowered](#) their oil price forecasts for later this year and next year. We therefore revise down our H2 sequential PPI inflation forecast, leaving our 2026 full-year PPI inflation forecast unchanged at 2.0% but lowering our 2027 full-year forecast to 0% (vs. 0.6% previously).

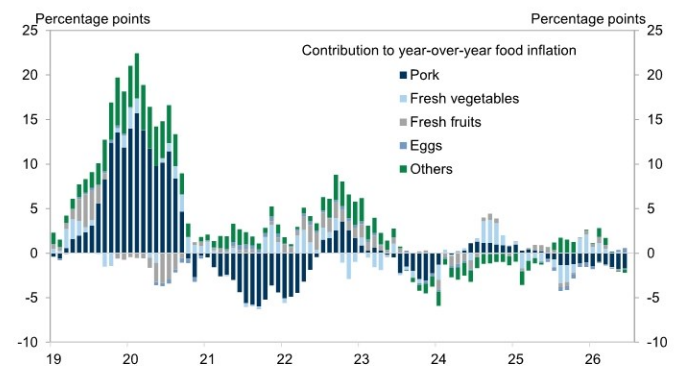
Xinquan Chen

Exhibit 1: Year-over-year PPI inflation edged up from May to June



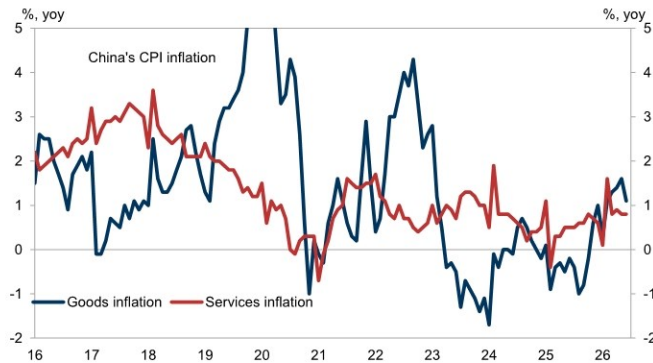
Source: NBS

Exhibit 2: Food CPI inflation was roughly unchanged from May to June



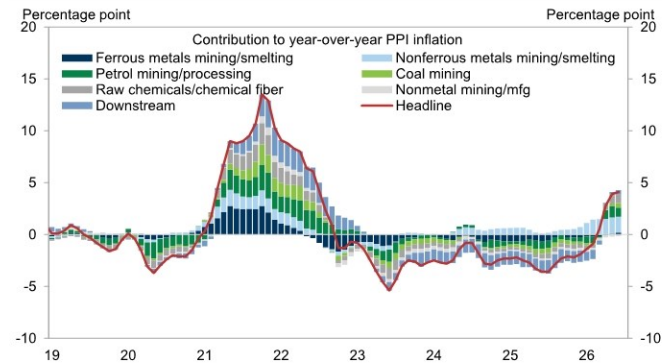
Source: NBS, Goldman Sachs Global Investment Research

Exhibit 3: Goods inflation moderated mainly on lower energy prices in June



Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 4: PPI inflation edged up from May to June, mainly due to higher downstream prices



Source: NBS, Goldman Sachs Global Investment Research

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